Pre-Leaving Certificate Examination, 2023

ACCOUNTING – HIGHER LEVEL

(400 marks)

TIME: 3 HOURS

This paper is divided into 3 Sections:

Section 1: Financial Accounting (120 marks).
This section has four questions (Numbers 1 – 4). The first question **(A or B)** carries 120 marks and the remaining three questions carry 60 marks each. Candidates should answer either **QUESTION 1 (A or B) only** OR answer any **TWO** of the remaining three questions in this section.

Section 2: Financial Accounting (200 marks).
This section has three questions (Numbers 5 – 7). Each question carries 100 marks. Candidates should answer any **TWO** of these questions.

Section 3: Management Accounting (80 marks).
This section has two questions (Numbers 8 and 9). Each question carries 80 marks. Candidates should answer **ONE** of these questions.

Calculators
Calculators may be used in answering the questions on this paper. It is very important that workings are shown in the answer book(s) so that full credit can be given for correct work.

SECTION 1 (120 marks)

Answer **Question 1** (A or B) OR any **TWO** other questions

1. Answer (A) OR (B)

(A) Sole Trader – Final Accounts

The trial balance shown below was extracted from the books of Jim Beechinor on the 31/12/2022.

	€	€
Stock 01/01/2022	20,800	
Debtors and creditors	49,250	33,560
Bank		32,130
Drawings	25,340	
Capital		265,930
Buildings (cost €510,000)	421,200	
Delivery vans (cost €135,000)	55,000	
Office equipment (cost €17,500)	8,500	
4% Investments (01/04/2022)	100,000	
Commission	6,750	
Provision for bad debts		2,500
Salaries and general expenses	67,320	
Discount (net)		450
Insurance	9,950	
Suspense		1,010
Purchases and sales	412,500	675,540
Mortgage Interest (paid for the first 4 months)	4,300	
VAT		3,840
PAYE, PRSI and USC		12,100
6% Fixed mortgage (including €50,000 received on 01/10/2022)		220,000
Rent	3,650	
Patents (incorporating 3 months investment income)	62,500	
	1,247,060	1,247,060

The following information and instructions are to be taken into account:

(i) Stock at 31/12/2022 at cost was €32,300. Included in this figure are goods **purchased** on a 'sale or return' basis. These goods had been recorded as a credit purchase with a recommended retail price of €4,200, which is cost plus 20%.

(ii) Provide for depreciation on delivery vans at an annual rate of 20% of cost from date of purchase to date of sale.
Note: On 30/06/2022 a delivery van, which had cost €30,000 on 31/07/2018, was traded in against a new van which cost €37,000. An allowance of €14,000 was made on the old van. The bank transfer for the net amount of this transaction was incorrectly treated as a purchase of trading stock. This was the only entry made in the books in respect of this transaction.

(iii) The suspense figure arises as a result of the posting of an incorrect figure for mortgage interest in the mortgage interest account (although the correct figure for mortgage interest had been entered in the bank account) and discount allowed €110 entered only in the discount account.

(iv) Patents, which incorporate 3 months investment income received, are to be written off over a 10-year period commencing in 2022.

(v) A new warehouse was purchased on 01/01/2022 for €73,775, including VAT of 13.5%. The amount paid to the vendor was entered in the buildings account. No entry was made in the VAT account.

(vi) Provide for depreciation on buildings at a rate of 2% of cost per annum. It was decided to revalue the buildings at €650,000 on **01/01/2022**.

(vii) Provision to be made for mortgage interest due and investment income due at 31/12/2022.

(viii) Goods taken by Beechinor for his own use during the year were omitted from the books. These goods had a retail value of €8,100, which is cost plus 20%.

(ix) No record has been made in the books for 'goods in transit' on 31/12/2022. The invoice for these goods had been received, showing the recommended retail selling price of €6,500, which is cost plus 25%.

(x) During the year, stock which had cost €3,000 was destroyed by fire. The insurance company has agreed to pay compensation of €2,500.

(xi) A supplier who was owed €4,600 accepted office equipment with a book value €4,300 in full settlement of the debt. The office equipment had cost €6,000. No entry was made in the books in respect of this transaction. Provide for depreciation on office equipment held on 31/12/2022 at the rate of 10% of cost.

Required:

(a) Prepare a trading and profit and loss account for the year ended 31/12/2022. (70)

(b) Prepare a balance sheet as at 31/12/2022. (50)

(120 marks)

(B) Company Final Accounts

Lopez Ltd has an authorised capital of €2,000,000 divided into 1,500,000 ordinary shares at €1 each and 500,000 5% preference shares at €1 each. The following trial balance was extracted from its books on 31/12/2022.

	€	€
Land and buildings at cost	900,000	
Accumulated depreciation on buildings		54,000
Delivery vans (cost €140,000)	90,000	
3% Investments 01/04/2022	100,000	
Dividends paid	28,000	
VAT		2,850
Discount (net)		1,280
Bank		36,100
Salaries and general expenses (including suspense)	105,340	
Debenture interest paid for first 6 months	4,950	
Bad debt provision		2,100
Advertising	15,000	
Audit fees	15,000	
Purchases and sales	358,400	590,200
8% Debentures (including 50,000 issued on 01/04/2022)		200,000
Capital reserve		25,000
Issued share capital:		
Ordinary shares		700,000
5% Preference shares		75,000
Stock 01/01/2022	22,000	
Profit and loss balance 01/01/2022		25,690
Patents (incorporating 3 months investment income)	69,250	
Debtors and creditors	41,000	36,720
	1,748,940	1,748,940

The following information and instructions are to be taken into account:

(i) Stock on hand at 31/12/2022 at cost was €21,600 - this figure includes stock originally purchased for €6,400 but now has a net realisable value of 80% of its original cost.

(ii) Towards the end of December 2022, goods with a retail value of €6,000 were received from a supplier. The goods were sent by the supplier on a 'Sale or Return' basis and had a mark-up on cost of 20%. These goods had been treated as a credit purchase in the accounts of Lopez Ltd.

(iii) During the year, stock which cost €2,800 was destroyed by fire. The insurance company have agreed to pay compensation of €2,500.

(iv) The land and buildings figure includes land at original cost of €250,000. Buildings are to be depreciated at the rate of 2% of cost per annum. At the beginning of 2022, the company decided to revalue land and buildings at €1,200,000. The land element of this new value is €300,000. This revaluation has yet to be reflected in the accounts.

(v) Provide for depreciation on delivery vans at a rate of 20% of cost per annum from the date of purchase to the date of sale.
Note: On 30/06/2022, a delivery van which had cost €25,000 on 30/09/2019, was traded in against a new van which had cost €30,000. An allowance of €10,000 was made on the old van. The cheque for the net amount of this transaction was entered in the Bank account but was incorrectly treated as a purchase of trading stock. These were the only entries made in the books in respect of this transaction.

(vi) The advertising payment is a payment for an 18-month campaign which started on 01/07/2022.

(vii) The suspense figure arises as a result of an incorrect figure for debenture interest (although the correct figure was entered in the bank account) and credit purchases of €2,350 entered on the incorrect side of the creditor's account.

(viii) Patents, which incorporates 3 months investment income, are to be written off over 7 years, starting in 2022.

(ix) The bank figure in the trial balance has been taken from the firm's bank account. However, a bank statement dated 31/12/2022 has arrived showing an overdraft of €38,950.
A comparison of the bank account and the bank statement revealed the following discrepancies:
1. A cheque for €410 paid to a supplier had been entered in the books (cash book and ledger) as €140.
2. A cheque for €1,020 issued to a creditor had not yet been presented for payment.
3. A payment from a liquidator was received directly into the Bank. This represents a first and final payment of 25c in the euro in respect of a debt of €8,000.
4. Lopez Ltd had made lodgements of €6,500, but these were not yet credited by the bank.
5. Investment income of €900 had been paid directly to the firm's bank account.

(x) Provision should be made for the following:
1. Provision for bad debts to be adjusted to 4% of debtors.
2. Provision to be made for investment income and debenture interest due.
3. The managing director should be paid a bonus commission of 5% on all sales in excess of €500,000.

Required:

(a) Prepare a trading, profit and loss account for the year ended 31/12/2022. (70)

(b) Prepare a balance sheet as at 31/12/2022. (50)

(120 marks)

2. Creditors Control Account

On the 31/12/2022 the creditors ledger control account of P. Mickleson failed to agree with the total of the list of creditors balances drawn up on the same day. The balances on the control account were €41,350cr and €640dr. An examination of the books revealed the following:

(i) Cash purchases by Mickleson of €570 had been debited to a supplier's account.

(ii) Mickleson had received an invoice from a supplier for €850. This had been entered in the appropriate day book as €580. However, when posting from this book to the ledger, no entry had been made in the personal account.

(iii) Mickleson had returned goods €6,300 to a supplier and entered this correctly in the books. However, a credit note arrived showing a deduction of 5% for a restocking charge. The total amount of this credit note was credited to the creditor's account. In relation to the credit note, no other entry was made in the books.

(iv) A credit note was received from a supplier for €193. The only entry made in the books was €139 debited to a debtor's account.

(v) Discount disallowed €49 by a supplier had been omitted from the books.

(vi) A creditor had charged Mickleson interest amounting to €95 on an overdue account. The only entry in the books for this interest had been €59 debited to the creditor's account. After a protest, this interest was reduced to €55, but this reduction had not been reflected in the accounts.

You are required to show:

(a) The adjusted creditors ledger control account. (26)

(b) The adjusted list (schedule) of creditors balances, showing the original balance. (26)

(c) Explain: (i) How a contra entry may arise.
(ii) How 'the opening balance of €640 dr' might arise. (8)

(60 marks)

3. Depreciation of Fixed Assets

Maguire Transport Ltd prepares its final accounts to the 31st December each year. The company's policy is to depreciate its trucks on a straight-line basis over 5 years. Scrap value is estimated at 20% of the original cost of the truck. Depreciation is charged from the date of purchase to the date of disposal.
(Calculations should be to the nearest euro.)

On 01/01/2021 Maguire Transport Ltd owned the following trucks:

Truck no. 1, purchased on 01/08/2017 for €66,000.
Truck no. 2, purchased on 28/02/2018 for €72,000.
Truck no. 3, purchased on 01/06/2020 for €78,000.

On 30/09/2021, truck no. 2 was traded in against another truck costing €84,000. Truck no. 2 had a refrigeration unit fitted on 01/07/2019. The cost of the refrigeration unit was €7,600 and the cost of installing it was a further €2,000. This refrigeration unit was depreciated at 30% of cost per annum. The trade-in allowance was €36,000.

On 01/05/2022, truck no. 1 underwent an annual service and the cost to the company was €5,100. On the 01/07/2022 it was then decided to trade in this truck for a new one costing €90,000. A bank transfer of €65,000 was paid for the new truck.

You are required to show with workings for each of the two years, 2021 and 2022:

(a) The truck account. (8)

(b) The provision for depreciation account. (28)

(c) The truck disposal account. (14)

(d) The relevant entries for the profit and loss account for the year ended 31/12/2022. (6)

(e) Explain why depreciation is a non-cash expense to a business. (4)

(60 marks)

4. Service Firm

Included in the assets and liabilities of M. Falvey, a dentist, on 01/01/2022 were the following:

Surgery €275,000, equipment €38,000, furniture €12,500, 2% investments €100,000, stock of dental supplies €1,100, creditors for dental supplies €800, 2 months insurance prepaid €760, amounts due from medical card scheme €7,120.

Receipts and Payments Account for the year ended 31/12/2022

Receipts	**€**	**Payments**	**€**
Sale of furniture (cost €9,500)	3,000	Bank balance at 01/01/2022	2,060
Receipts from private patients	58,950	Light & heat	3,640
Medical card scheme	75,000	Furniture	8,000
Investment income	2,200	Purchases – dental supplies	21,050
		Cleaning expenses	3,240
		Telephone	2,960
		Bank loan plus 15 months interest at 7% per annum on 30/09/2022	21,750
		Receptionists' wages	15,000
		Annual insurance payment	7,200
		Drawings	20,460
		Balance 31/12/2022	33,790
	139,150		139,150

The following information and instructions are to be taken into account:

(i) Stock of dental supplies at 31/12/2022 was €2,050.

(ii) The figure for bank does not take into account bank charges of €56 and a cheque received from a private patient for €195 in December and was dishonoured by the bank. Contact was made with the patient, who stated that the reason for the cheque being dishonoured was a timing issue and to present the cheque again to the bank in January 2023.

(iii) 70% of light and heat and telephone relate to the practice and the remainder is deemed to be for private purposes.

(iv) Creditors for dental supplies at 31/12/2022 are €2,650.

(v) Fees due from private patients and medical card scheme are €510 and €1,350 respectively.

(vi) Provide for depreciation as follows:

Equipment	–	20% of cost
Furniture	–	10% of cost
Surgery	–	2% of cost.

Note: Fixed assets are given at cost and depreciation on them has been accumulated for 2 years to 01/01/2022. The depreciation policy is to charge a full year's depreciation in the year of acquisition and none in the year of disposal.

(vii) The figure for cash drawings includes €2,700 for 3 weeks wages paid to a locum dentist and you are required to provide for a further 4 weeks wages due.

Required:

(a) Prepare a statement of capital for M. Falvey as at 01/01/2022. (18)

(b) Prepare an income and expenditure/profit and loss account for the year ended 31/12/2022. (30)

(c) (i) Prepare Falvey's drawings account.

(ii) Explain why it is important for Falvey to keep a record of the amounts taken out as drawings. (12)

(60 marks)

SECTION 2 (200 marks)
Answer any **TWO** questions

5. Interpretation of Accounts

The following figures have been taken from the final accounts of Adare plc, a manufacturer in the food processing sector. The company has an authorised capital of €1,000,000 made up of 750,000 ordinary shares at €1 each and 250,000 4% preference shares at €1 each. The firm has already issued 500,000 ordinary shares and 100,000 4% preference shares.

Trading and Profit and Loss account for the year ended 31/12/2022		
	€	€
Sales		1,210,000
Cost of goods sold		(845,000)
Operating expenses for the year		(162,000)
Interest for year		(27,000)
Net profit for year		176,000
Dividends paid		(34,000)
Retained profit		142,000
Profit and loss balance 01/01/2022		220,500
Profit and loss balance 31/12/2022		362,500

Ratios and information for year ended 31/12/2021	
Earnings per ordinary share	24.8c
Dividend per ordinary share	5.1c
Interest cover	5.4 times
Acid test ratio	0.8 : 1
Market value of an ordinary share	€0.46
Return on capital employed	10.3%
Gearing	38.9%
Dividend cover	4.86 times
Dividend yield	11.09%
Return on equity funds	16.8%
Closing stock	€47,000

Balance Sheet as at 31/12/2022		
Fixed Assets	€	€
Tangible fixed assets	850,000	
Intangible fixed assets	85,000	
Investments (market value 31/12/2022, €325,000)	300,000	1,235,000
Current Assets (including stock €22,000 and debtors €48,000)	126,000	
Less Creditors: amounts falling due within 1 year		
Trade creditors	95,000	
Expenses due	3,500	27,500
		1,262,500
Financed by		
9% Debentures (2027/2028 secured)		300,000
Capital and Reserves		
Ordinary shares @ €1 each	500,000	
Preference shares @ €1 each	100,000	
Profit and loss balance	362,500	962,500
		1,262,500

Market value of one ordinary share on 31/12/2022 is **€0.54**

(a) **You are required to calculate the following for 2022:**
(where appropriate, calculations should be made to **two** decimal places).

(i) Earnings per ordinary share.

(ii) Return on equity funds.

(iii) Cash sales if the period of credit allowed to trade debtors is 1.5 months.

(iv) How long it would take to recover the market price of the shares at current payout rate.

(v) Dividend cover. (50)

(b) An investor, Tony Fenton, is considering purchasing 100,000 of the already issued shares in Adare Plc at 50c each. He intends using €25,000 of his own savings and the remainder would be borrowed at a fixed rate of 10%. Tony has consulted you, James Hayes, Financial Consultant, for your advice. Write a report to Tony, dated 31st March 2023, with your recommendations. You should include relevant ratios and other information in your report. (40)

(c) The following liquidity figures refer to PGA plc:

	2020	**2021**	**2022**
Current ratio	3 : 1	6.5 : 1	8 : 1
Acid test ratio	2 : 1	4.5 : 1	5.7 : 1

Comment on the trend of these ratios over the three years and discuss if you consider it to be prudent management of working capital. (10)

(100 marks)

6. Published Accounts

The following is the trial balance of Navan Plc as at 31/12/2022. It has an authorised share capital of €1,500,000 made up as follows: 1,000,000 ordinary shares @ €1 each and 500,000 6% preference shares at €1 each.

	€	€
Stock at 01/01/2022	37,900	
Motor vans at cost	150,000	
Accumulated depreciation on motor vans		27,000
Dividends paid	22,000	
Patents	36,000	
Wages and salaries	71,000	
Advertising	36,000	
2.5% Investments	350,000	
Investment income		4,375
Buildings at cost 01/01/2022	525,000	
Accumulated depreciation on buildings		24,000
Distribution costs	56,500	
Administrative expenses	37,050	
Purchases and sales	875,000	1,615,000
7% Debentures 2027		250,000
Interest paid on debentures	13,125	
Debtors and creditors	56,900	47,500
PAYE		31,000
Bank	226,520	
Issued share capital:		
Ordinary shares		300,000
Preference shares		50,000
Bad debt provision 01/01/2022		10,000
Profit & loss balance 01/01/2022		54,020
Rental income		27,500
Profit on sale of land		40,000
VAT		12,600
	2,492,995	2,492,995

The following additional information is relevant:

(i) Stock at 31/12/2022 is €33,000.

(ii) Provision is to be made for: directors' fees €25,500, auditors' fees €19,500, corporation tax €55,000, debenture interest due and investment income due.

(iii) Wages and salaries are to be allocated 40% to administration and 60% to distribution.

(iv) Depreciation on buildings is to be provided for at the rate of 2% p.a. straight line, and delivery vans at the rate of 20% p.a. on a **reducing balance basis**. There was no purchase or sale of buildings during the year.

(v) During the year, land which had cost €150,000 was sold for €190,000. At the end of the year, it was decided to revalue the company buildings to €700,000. This valuation is now to be included in the accounts for this year.

(vi) The patent was acquired on the 01/01/2016 for €90,000; it is being amortised over 10 years in equal instalments and this amortisation is to be included in the cost of sales.

(vii) Included in the administrative expenses is the receipt of €3,500 in respect of patent royalties.

(viii) The company is being sued by a former employee who is claiming unfair dismissal. He is seeking damages for €94,000, i.e., two years' wages. Its legal advisors state that as all proper procedures were adhered to in the course of the dismissal, it is unlikely that any compensation will have to be paid to the former employee. However, the company has received an invoice for legal fees to the value of €7,500.

You are required to:

(a) Prepare the published profit and loss account for the year ended 31/12/2022, and a balance sheet as at that date, in accordance with the Companies Acts and appropriate accounting standards showing the following notes:

1. Accounting policy notes for tangible fixed assets and stock;
2. Operating Profit;
3. Interest Payable;
4. Dividends;
5. Tangible Fixed Assets. (90)

(b) State **two** differences between an auditors' report and a directors' report. (10)

(100 marks)

7. Tabular Statement

The financial position of Power Ltd on 01/01/2022 is shown in the following balance sheet:

Balance Sheet as at 01/01/2022			
	€	€	€
Fixed Assets	**Cost**	**Dep**	**NBV**
Premises	260,000	34,000	226,000
Motor vehicles	76,000	38,500	37,500
	336,000	72,500	263,500
Financial Assets			
Investments			40,000
Current Assets			
Stock	23,250		
Debtors (less 3% bad debt provision)	27,160		
Rent prepaid	600	51,010	
Less Creditors: amounts falling due within 1 year			
Creditors	15,110		
VAT	2,650		
Bank	7,000		
Wages due	1,100	25,860	
Net Current Assets			25,150
Total Assets less Current Liabilities			328,650
Financed by:			
Creditors: amounts falling due after 1 year			
15-year loan			58,000
Capital and Reserves			
Authorised - 450,000 ordinary shares @ €1 each			
Issued - 250,000 ordinary shares @ €1 each		250,000	
Share premium		10,000	
Profit and loss balance		10,650	270,650
			328,650

The following transactions took place during 2022:

Jan Paid all outstanding wages on 31st December 2021 by bank transfer.

Feb Issued 100,000 shares at a premium of 12c per share.

March On the 1st of March, Power Ltd purchased an adjoining business made up of the following: premises €96,000, motor vehicles €30,000, creditors €21,500 and stock €2,500. The purchase price was discharged by granting the seller the remaining shares in Power Ltd at a premium of 12.5c per share.

April Received a bank transfer of €870 from a debtor and allowed discount of €30. It was then decided to maintain the bad debt provision figure to 3% of debtors.

May Power Ltd decided to make a one-off payment on the 15-year loan by paying off €24,000. To do this, it sold off part of the **investments** for the same amount.

June Paid by bank transfer rent for the year ending 30/04/2023 €4,200. Also, in June, the business received a bank statement showing a credit transfer into Power's account representing a full year's investment interest of €1,000.

July A payment of €1,950 was received from a debtor whose debt had been previously written off. This represents 30% of the original debt, and the debtor had undertaken to pay the remainder in January 2023.

Sept Sold goods on credit for €6,396. This included VAT at 23% and a mark-up on cost of 30%.

Oct Goods previously sold in September for €1,599 (incl VAT) by Power Ltd were returned. As a result of a delay in returning these goods, a credit note for only €1,500 was issued.

Nov A vehicle which had cost €18,000 was traded in against a new vehicle costing €25,000. A trade-in allowance of €4,500 was given on the old vehicle. Depreciation charged on the old vehicle up to the date of disposal was €14,200. The annual charge for depreciation on motor vehicles will be €21,250.

Dec The depreciation charge on premises for the year is 2% straight line. On December 31st, Power Ltd decided to revalue their premises to €400,000.

You are required to:

Record on a tabular statement the effect each of the above transactions had on the relevant asset, liability and capital accounts in the month in question and ascertain the total assets and liabilities on 31/12/2022.

(100 marks)

SECTION 3 (80 marks)
Answer any **ONE** question

8. Marginal Costing and Flexible Budgeting

(A) Marginal Costing

Lowry Ltd manufactures a new simulator for the golf industry. The company's profit and loss account for the year ended 31/12/2022 was as follows:

	€	€
Sales (2,500 units @ €550 each)		1,375,000
– Cost of Sales		
Direct materials	100,000	
Direct labour	150,000	
Factory overheads	600,000	
Other overheads	80,000	
Selling & distribution costs	155,000	1,085,000
Net Profit		290,000

Apart from a sales commission of 4% of sales price, selling and distribution costs are fixed. Direct materials and direct labour are variable. Factory overheads are 20% variable and the other overheads are 25% fixed.

You are required to calculate:

(a) The company's break-even point and margin of safety, in units and value (€) for both.

(b) The number of units that must be sold in order to attain a profit figure of 5% of the revenue generated from those sales.

(c) The selling price the company must charge per unit if fixed costs increase by 10%, assuming the variable cost structure, volume of sales and profit remain the same.

(d) The number of units that must be sold at €500 per unit to generate the same level of profit as in 2022 assuming all cost structures remain the same.

(e) What is sensitivity analysis?

(B) Flexible Budgeting

Bo Plc manufactures components for the aerospace industry. Mixed costs can be separated into their fixed and variable elements by using records of costs from previous periods. The following flexible budgets have already been prepared for 40%, 70% and 90% of the plant's capacity.

Output levels	**40%**	**70%**	**90%**
Units	**15,000**	**26,250**	**33,750**
	€	**€**	**€**
Direct materials	60,000	105,000	135,000
Direct wages	240,000	420,000	540,000
Production overheads	85,000	130,000	160,000
Other overheads	90,000	146,250	183,750
Administration expenses	41,000	41,000	41,000
	516,000	842,250	1,059,750

Profit is budgeted at 25% of sales. Production overheads can be separated into their variable and fixed elements as follows: variable cost per unit €4.00 and fixed cost €25,000.

Required:

(a) Separate 'Other' overheads into fixed and variable elements.

(b) Prepare a flexible budget for maximum capacity using Marginal Costing principles and show the Contribution.

(c) Explain, with examples, 'Direct' and 'Indirect' costs.

(80 marks)

9. Cash Budgeting

Bland Ltd, a high-spec engineering company opening on 01/03/2024, has acquired the franchise for the sale of high-spec air filters. It has made the following forecast about its operations for the months March to August of 2024:

	March	April	May	June	July	August	Total
	€	€	€	€	€	€	€
Sales	60,000	66,000	69,600	72,000	78,000	90,000	435,600
Purchases	40,000	44,000	46,400	48,000	52,000	60,000	290,400

(i) As all the air filters will be purchased to order, there will be none held in stock, except for a few demonstration models.

(ii) The expected selling price is €1,200 per unit.

(iii) The cash collection pattern from sales/debtors is expected to be:

Cash Customers 40% of sales revenue will be for immediate cash and cash discount of 5% will be allowed.

Credit Customers 60% of sales revenue will be from credit customers. These debtors will pay their bills 70% in the month after sale and the remainder in the second month after sale.

(iv) The cash payments pattern for purchases is expected to be:

Credit Suppliers The purchases will be paid for 75% in the month after purchase, when a 4% cash discount will be received. The remaining purchases will be paid for in the second month after purchase.

(v) Expenses of the business will be settled as follows:

Expected Costs Wages €3,200 per month payable as incurred. Variable overheads €65 per unit payable as incurred. Fixed overheads (including depreciation) €6,500 per month payable as incurred.

Capital Cost Installation equipment costing €30,000 with an estimated useful life of 10 years and a residual value of €3,000 will be purchased on 1 March. This will be partly financed by means of a loan of €15,000 at 10% per annum. The capital sum is to be repaid in 30 equal monthly instalments, commencing on 1 April. The interest for each month is to be paid on the last day of each month based on the amount of the loan outstanding at that date.

Bank Overdraft The Bank has sanctioned an overdraft facility for Bland Ltd. The terms of the overdraft arrangement are that the limit is €20,000 and interest is charged at 1% per month payable one month later.

(Where appropriate, all calculations to be made to the nearest Euro '€')

Required:

(a) Prepare a cash budget for six months March to August 2024.

(b) Prepare a budgeted profit and loss account for the 6-month period ended 31/08/2024.

(c) Prepare a budgeted balance sheet as at 31/08/2024.

(80 marks)